

24STCV10311 24STCV10311

County: los-angeles

Division: Civil Law and Motion

Department: 730

Hearing date: 2026-07-13

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Case Number: 24STCV10311 Hearing Date: July 13, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

GUANGZHOU

BEAVER COSMETIC CO. LTD., et al.,

Plaintiffs,

vs.

LUSETA

BEAUTY INC., et al.,

Defendants.

Case No.:

24STCV10311

Hearing

Date:

July 13,

2026

ORDER
SUSTAINING DEMURRER TO THIRD AMENDED
COMPLAINT

I. BACKGROUND

In 2012 Plaintiffs entered into a contract with Defendant Luseta Beauty Inc. ("Luseta") to provide personal care products for Luseta's brand. Recently, Luseta has fallen behind on payments for goods supplied. Defendant Junhua Huang ("Huang"), a controlling officer and shareholder of Luseta, promised Plaintiffs he would use his personal finances to ensure timely payment of Luseta's expenses and otherwise take steps to ensure Luseta made timely payments. Plaintiffs sue Defendants for six causes of action, including fraud.

On March 10, 2026, Huang filed the instant demurrer to the Third Amended Complaint's (TAC's) sixth cause of action for fraud on the grounds it is barred by the economic loss rule. Plaintiffs opposed. Huang replied.

II. LEGAL STANDARD

Code of Civil Procedure section 430.10 states: "The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: (a) The court has no jurisdiction of the subject of the cause of action alleged in the pleading; (b) The person who filed the pleading does not have the legal capacity to sue; (c) There is another action pending between the same parties on the same cause of action; (d) There is a defect or misjoinder of parties; (e) The pleading does not state facts sufficient to constitute a cause of action; (f) The pleading is uncertain. As used in this subdivision, "uncertain" includes ambiguous and unintelligible; and (g) In an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct."

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian

v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

III. DISCUSSION

Huang demurs to Plaintiff's TAC's sixth cause of action for fraud on the basis it is barred by the economic loss rule. The economic loss rule prevents parties from recovering in tort for purely economic losses. "In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.)

"[The] economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.' . . . [U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed."

(Rattagan v. Uber Techs., Inc. (2024)
17 Cal.5th 1, 20–21.)

The TAC alleges Huang is an officer and shareholder of Luseta who exercises operational control over the company and directs its business activities. (TAC ¶

3.) The TAC's cause of action for fraud states

the cause of action is based on "Huang's own, personal extra-contractual misrepresentations made after payment default had already occurred, for the purpose of inducing Plaintiffs to forbear from suit, and to continue supplying goods and extending credit they otherwise would not have supplied." (TAC ¶ 51.) Following Luseta's failure to pay, Huang made

the following representations to Plaintiffs: (1) Huang would use his personal financial resources to ensure timely payment of the Luseta invoices for future deliveries; (2) Huang had the personal financial ability to ensure timely payment on behalf of future invoices; (3) Luseta had the ability to pay for new and increased orders on an expedited basis; (4) Huang would cause Luseta to use Plaintiffs as its exclusive supplier; (5) neither Huang nor Luseta would dispute Plaintiffs' invoices; and (6) Huang would cause Luseta to pay future invoices by applying one hundred percent of proceeds from certain customer accounts to payments. (TAC

¶ 52.) As a result of these allegedly fraudulent representations, Plaintiffs suffered expenditures and fees for storage of Luseta supplies never delivered, costs associated with maintaining production and the extension of unsecured credit to Luseta, costs resulting from forbearance in pursuing immediate collection remedies, and losses from continued shipments made without payment. (TAC ¶ 60.)

All alleged losses are purely economic; there are no allegations of damage to personal or physical property. Therefore, the economic loss rule applies if the Court finds the allegations are not completely independent from the underlying broken contractual promise.

Here, all allegations of Huang's fraud stem from the underlying breached contract between Plaintiffs and Luseta. Luseta materially breached this contract by failing to pay Plaintiffs for the ordered products. (TAC ¶ 28.) Plaintiffs agreed to continue supplying Luseta based upon Huang's various representations regarding securing of payment and exclusivity for Luseta. (TAC ¶ 52.)

Huang made no representation or

agreement to Plaintiffs that did not concern securing products for Luseta, the crux of the underlying contract. (Ibid.)

The TAC states as much: “Mr. Huang, at all times, knew that Plaintiffs were relying upon the foregoing misrepresentations when deciding whether to continue supplying Luseta Beauty with products and credit and to forego initiating a lawsuit at that time to collect the amounts owed.” (TAC ¶ 56.) The alleged fraud was only discovered in August 2023, when Luseta refused to make any further payments. (TAC ¶ 58.)

The gravamen of the action

is Luseta’s failure to pay outstanding sums owed under the oral contract. It is well settled that a corporation can act only through its employees, agents, directors, or officers. The TAC makes clear that Huang is named as a defendant because, as an officer of Luseta, he made representations on Luseta’s behalf and interest. Absent Huang’s corporate role, Plaintiffs would have had no reason to rely on his statements that he “would cause Luseta to pay the outstanding balance it owed to Plaintiffs,” or “use his personal financial resources to ensure timely payment of Luseta Beauty invoices” in deciding to continue supplying products despite unpaid balances. (TAC ¶ 52.) Plaintiffs therefore cannot artificially separate Luseta from Huang to avoid application of the economic loss rule where, on the face of the TAC, the alleged damages arise solely from Luseta’s failure to pay amounts due under the contract. The mere fact Plaintiffs asserted Huang is being sued for his personal representations does not override the context of the rest of the complaint; Huang is a controlling officer of Luseta making statements in order to induce Plaintiffs to continue to abide by the subject contract with Luseta and provide product. Any and all damages resulting from Plaintiffs continuing to provide product are not distinct from damages stemming from the subject contract.

The

burden is on Plaintiffs to show in what manner he can amend the complaint, and how that amendment will change the legal effect of the pleading. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349; Hendy v. Losse (1991) 54 Cal.3d 723, 742.) Plaintiffs claim they can supplement the TAC with dates they would have filed suit but for Huang’s promises, identify particular shipments made in reliance on particular representations, and tie reliance damages to each representation. These would not change the underlying issue that reliance upon Huang’s promises stems from the underlying contract between Plaintiffs and Luseta. Plaintiffs have not provided any indication Plaintiffs can amend the complaint to change the legal effect of the pleading. Therefore, the Court denies leave to amend.

IV. CONCLUSION

Defendant Junhua Huang's demurrer to the TAC is SUSTAINED
WITHOUT LEAVE TO AMEND.

Moving Party is ordered to give notice.

DATED:

July 13, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE

TAKE NOTICE:

- Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If

a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If

the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of

the subject motion without leave.